

Daily Market Action Classifications

This document provides a technical and visual reference for the four primary daily action types (R1, R2, DWP, DNP). These classifications are derived relative to the **09:30 1-minute Opening Range (OR)**.

Precedence & Hierarchy

To ensure unambiguous classification, the system follows a strict hierarchy. If a day meets multiple criteria, the higher-priority type is chosen:

1. **Range 2 (R2)**: Reversal Day (Highest Priority)
2. **Range 1 (R1)**: Mean-Reverting/Time-Spent
3. **Trending (DWP/DNP)**: Directional (Lowest Priority)

[!IMPORTANT]

Parity Note: The technical analysis (touches, breaks, and pullbacks) begins at the first hour change (**10:00 AM EST**). The price action from 09:30-09:59 is used *exclusively* to define the Opening Range and is not used for hourly classification counts.

The Four Classifications

Range 1: Time Spent

Definition: The price stays within or frequently re-tests the Opening Range (OR).

- **Metric:** 4+ OR touches OR price never leaves the range.
- **Parity Rule:** Analysis starts at 10:00 AM.
- **Vibe:** Neutral, churning, rotation.



Range 2: Reversal

Definition: A failed expansion. Price breaks out, fails, and returns to the OR.

- **Condition:** Price must return AFTER 11:00 AM EST.
- **Condition:** At least one full hour of separation from the range.
- **Vibe:** Trapped traders, mean reversion.



■ DWP: Directional With Pullbacks

Definition: A strong trend that exhibits structural retracements.

- **Logic:** Price breaks OR and never returns.
- **PB Rule:** An hourly Low (in uptrend) or High (in downtrend) takes out the previous hourly extreme towards the OR.

- **Vibe:** Convicted move with entry opportunities.

DWP: Directional With Pullbacks Strategy



DNP: Directional No Pullback

Definition: A "Power Trend" or runaway expansion.

- **Logic:** Price breaks OR and shows no structural retracements.
- **PB Rule:** Every hourly bar makes a higher low (uptrend) or lower high (downtrend).

- **Vibe:** Runaway conviction, highly aggressive.



Real-World Examples

To see how these rules look on the live TradingView indicator, review these audited examples:

Classification	Chart Example	Key Logic Observed
Range 1	 A candlestick chart on a black background with green and white candles. A horizontal green bar labeled 'Range 1 12/29/25' spans the middle of the chart. The price moves up and down within this range. A vertical dashed line is on the right side.	Price spent 5 hours inside the 09:30 range.
Range 2	 A candlestick chart on a black background. A horizontal green bar labeled 'Range 2 01/05/26' is shown. Above it, a pink box labeled 'GAP' indicates a price jump. The price moves within the range after the gap. A vertical dashed line is on the right side. A data table is visible on the right edge of the chart.	Broke at 11:00, returned to range after a full-hour gap.
DWP	 A candlestick chart on a black background. A horizontal green bar labeled 'DWP 12/31/25' is shown. The price shows a strong downward trend with several hourly low violations, indicated by the price closing below the previous hour's low. A vertical dashed line is on the right side.	Strong trend with clear hourly low violations.

Classification	Chart Example	Key Logic Observed
DNP	 The chart displays a candlestick price movement on a dark background. Blue rectangular blocks are overlaid on the price, forming a step-like pattern that generally follows the upward trend of the price. A green label with white text 'DNP 01/06/26' is positioned in the center of the chart. The x-axis represents time, and the y-axis represents price. The TradingView logo is visible in the bottom left corner.	Aggressive trend without a single hourly reversal.

Logic Flowchart



SESSION START

09:30 AM EST

Capture High/Low of
9:30:00 1m Candle



HOURLY ANALYSIS

Create Hourly Box 10:00-
11:00

Create Hourly Box 11:00-
12:00

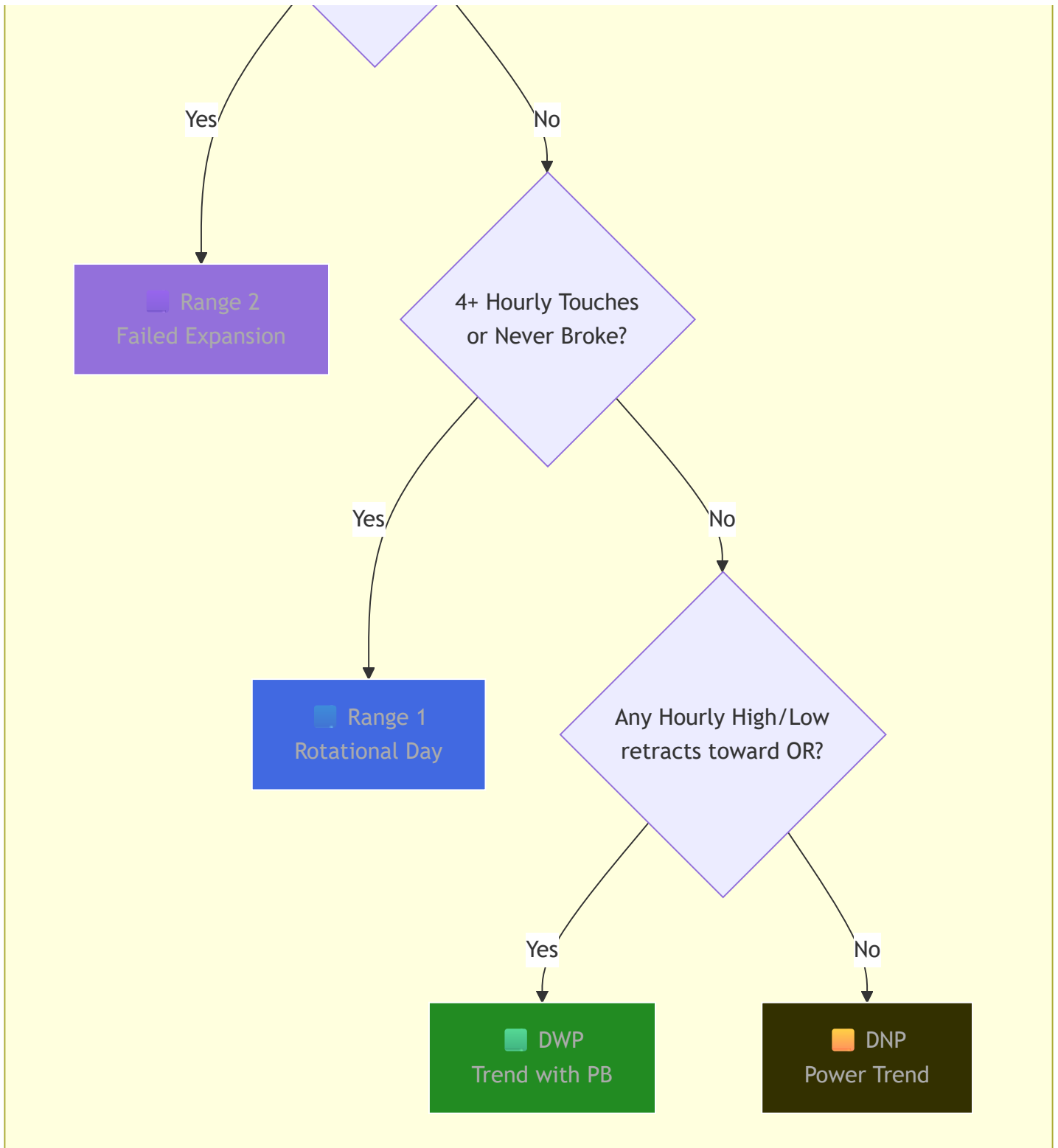
...

Check for Break vs Touch



CLASSIFICATION (R2 > R1 > Trend)

Broke OR and
Returned after 11:00?



Technical Implementation Details

Parameter	Value	Description
OR Duration	1 Minute	09:30:00 to 09:30:59

Parameter	Value	Description
Touch Tolerance	2.0 Ticks	Tick-based buffer around OR boundaries
R2 Return Window	11:00 AM+	Returns before 11:00 index do not count as R2
Analysis Start	10:00 AM	Hourly array begins at first hour change
Timezone	NY (EST/EDT)	All timestamps localized to America/New_York

[!TIP]

Pullback Exclusion: The final hour of the session (15:00-16:00) is excluded from pullback detection to avoid "end of day" noise being classified as a structural trend shift.